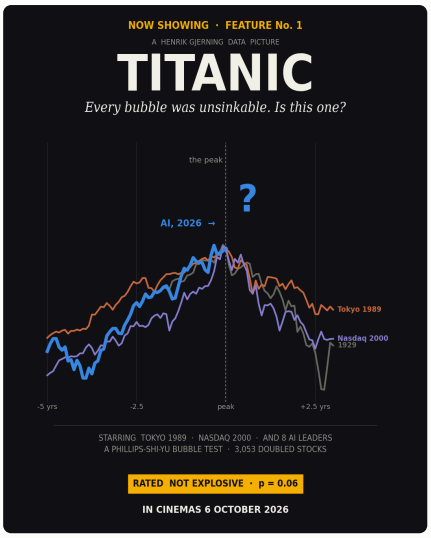


Henrik Gjerning · LinkedIn · 6 October 2026

TITANIC: every bubble was unsinkable. Is this one?

> Guess before you scroll: Is today's AI rally a bubble by the textbook test, prices rising faster than any random walk can explain?
> A) Yes, clearly explosive
> B) No, not explosive right now
> C) The test can't tell
> Comment A, B or C. The answer is below.

Over the last five years, an equal-weight basket of eight AI leaders (NVIDIA, Broadcom, AMD, Microsoft, Meta, Alphabet, Amazon, Oracle) rose 305%. The Nikkei rose 237% into its 1989 peak. The Nasdaq rose 460% into 2000.

So I ran the test that dated both of those bubbles in real time: Phillips-Shi-Yu's GSADF, which asks whether a price is rising faster than any random walk can explain. It caught Tokyo and the Nasdaq before their peaks. (It missed 1929. My data start too late.)

On the AI basket today: not explosive (p = 0.06), and nothing flagged since 2021. NVIDIA alone was explosive in 2024-25 and has since cooled. The Nasdaq-100: nothing.

Then the part that matters for a portfolio. Of 3,053 US stocks that doubled in two years, 48% then fell 40% within the next two, against 38% for all stocks. After a 150% run: 58%. Yet average returns afterwards stayed positive.

Today 3 of the 8 AI names meet that doubling test: AMD (+241%), Alphabet (+112%), Broadcom (+111%).

So: a boom with bubble-sized gains, but not a bubble-shaped path. The statistics point to crash risk in individual names rather than a collapse of the whole group.

Answer: B: neither the Nasdaq-100 nor the AI basket is explosive now (basket p 0.06).

Every bubble was unsinkable. The iceberg never reads the prospectus.

Which market do you think is the next Titanic, and why?

All three tests were pre-registered before I looked. Code, tables and the pre-registration: hgjerning.github.io/now-showing/titanic

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Want it run on your own market, idea or strategy? hgjerning@rudeinvest.com · linkedin.com/in/henrikgjerning